

During the initial years of colonial administration in India, all public works were undertaken by the army's Engineering Department, which was placed under a Military Board. As a result, the railways in India, since its inception, was looked at as works of the military. In 1854, Lord Dalhousie abolished Military Boards in the three Presidencies – Bombay, Madras, and Bengal. Instead, he brought in a Central Public Works Secretariat, headquartered at Calcutta, then the capital of British India. With this, every local government had a chief engineer to attend to public works of all nature in their territory. Like many other sectors post the Revolt of 1857, all crucial industry matters, especially those relating to finance, were dealt by the secretary of state for India.

Specific to railways, the secretary of state now had the power to make an appointment to the Board of Directors of the railway companies. Actual control over the industry, however, was exerted through a director inducted in the London Board of Directors of all railway companies. Along with the right to veto in all proceedings (except those related to communication with the legal advisers), that Director also held the right to approval of hiring of railway personnel and sanction of orders for materials, among others.

Initial adjustments

The railway companies did not have a well-considered administrative plan when they were formed. Their earliest measures in this regard were temporary in nature, and subject to change and replacement at will. The Great Indian Peninsula Railway (GIPR) appointed a committee of five directors in Bombay to represent its London Board of Directors. Its role was to implement instructions supplied from Directors in London and oversee the company's business, especially its salaried officers. At the same time, its activities were subject to approval and control of the Bombay government.

However, in 1862, the Secretary of State for India proposed that the GIPR replace the Bombay committee with a general manager. Although initially reluctant, in 1864, GIPR agreed. In another instance, as the workload mounted, in 1867, another committee, formed by the chairman and a director, was appointed to deal with invoices, bills, and cheques. The traffic manager's department was earlier supervised jointly by the